

Large Exposures (CRR)

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1

Application and Definitions

1.1

This Part applies to:

1. (a) a `_firm_` that is a `_CRR firm_`; and
2. (b) a `_CRR consolidation entity_`.

1.2

In this Part, the following definitions shall apply:

control

means the relationship between a parent undertaking and a subsidiary undertaking:

1. (1) as defined in either:
 1. (a) the accounting standards referred to in section 403(1) of the Companies Act 2006; or
 2. (b) section 1162 of the Companies Act 2006; or
2. (2) a similar relationship between any natural or legal person and an undertaking.

`_exposure_`

subject to Article 390(6), means any asset or off balance sheet item referred to in Part Three, Title II, Chapter 2 of `_CRR_`, without applying the risk weights or degrees of risk.

[Note: This definition corresponds to Article 389 of `_CRR_` as it applied immediately before revocation by the `_Treasury_`]

group of connected clients

means any of the following:

1. (1) two or more natural or legal persons who, unless it is shown otherwise, constitute a single risk because one of them, directly or indirectly, has control over the other or others; or
2. (2) two or more natural or legal persons between whom there is no relationship of control as described in point (1) but who are to be regarded as constituting a single risk because they are so interconnected that, if one of them were to experience financial problems, in particular funding or repayment difficulties, the other or others would also be likely to encounter funding or repayment difficulties,
3. provided that:
4. (3) notwithstanding points (1) and (2), where a central government has direct control over, or is directly interconnected

with, more than one natural or legal person, the set consisting of the central government and all of the natural or legal persons directly or indirectly controlled by it in accordance with point (1), or interconnected with it in accordance with point (2), may be considered as not constituting a group of connected clients. Instead the existence of a group of connected clients formed by the central government and other natural or legal persons may be assessed separately for each of the natural or legal persons directly controlled by it in accordance with point (1), or directly interconnected with it in accordance with point (2), and all of the natural or legal persons which are controlled by that natural or legal person according to point (1) or interconnected with that natural or legal person in accordance with point (2), including the central government. The same applies in cases of regional governments or local authorities to which Article 115(2) of CRR applies and in the United Kingdom regional governments means the Scottish Government, the Welsh Government and the Northern Ireland Executive; and

5. (4) two or more natural or legal persons who fulfil the conditions set out in point (1) or (2) because of their direct exposure to the same central counterparty for clearing activities purposes are not considered as constituting a group of connected clients.

large exposure

means a firm's _exposure_ to a client or group of connected clients where the value of the _exposure_ is equal to or exceeds 10% of its Tier 1 capital.

[Note: This definition corresponds to Article 392 of _CRR_ as it applied immediately before revocation by the _Treasury_]

1.3

For the purposes of calculating the value of _exposures_ in accordance with this Part the term "institution" shall include a private or public _undertaking_, including its branches, which, were it established in the _United Kingdom_, would fulfil the definition of the term "institution" and has been authorised in a _third country_ that applies prudential supervisory and regulatory requirements determined by the _Treasury_ to be at least equivalent to those applied in the _United Kingdom_.

Note: Rule 1.3 corresponds to the first subparagraph of [Article 391 of _CRR_. The second subparagraph of Article 391 containing the power for the _Treasury_ to determine equivalence remains in _CRR_. The third subparagraph of Article 391 of _CRR_ contains transitional provisions]

1.4

For the purposes of Chapter 5 Part") of this Part the following definitions shall apply:

1. (a) "_transactions_" ?

1. mean transactions referred to in points (m) and (o) of Article 112 of _CRR_ and other transactions where there is an exposure to underlying assets;

2. (b) "_unknown client_"?

1. means a single hypothetical client to which the firm assigns all _exposures_ for which it has not identified the obligor, provided that Article 6(2)(a) and (b) and Article 6(3)(a) of Chapter 5 of this Part are not applicable.

[Note: This rule corresponds to Article 2 of Part 2 of Regulation (EU) No 1187/2014 as it applied immediately before revocation by the _Treasury_]

2

Level of Application

Application of requirements on an individual basis

2.1

A firm must comply with this Part on an individual basis.

[Note: Rule 2.1 sets out an equivalent provision to Article 6(1) of _CRR_ that applies to this Part]

* Future version of 2.1 after 01/01/2027

2.2

Where a firm has been given permission under Article 9(1) of _CRR_ it must incorporate relevant subsidiaries in the calculation undertaken to comply with rule 2.1.

[Note: Rule 2.2 applies Article 9(1) of _CRR_ to this Part where a permission under that Article has been given]

* Future version of 2.2 after 01/01/2027

2.3

But rule 2.1 does not apply to the second and third paragraphs of Article 394(1)"', to Article 394(2)"' and to the third paragraph of Article 395(1)"', which obligations shall only be complied with on a consolidated basis.

Application of requirements on a consolidated basis

2.4

A _CRR consolidation entity_ must comply with this Part on the basis of its consolidated situation.

[Note: Rule 2.4 sets out an equivalent provision to the first sentence of Article 11(1) of _CRR_ that applies to this Part]

* Future version of 2.4 after 01/01/2027

2.5

For the purposes of applying this Part on a consolidated basis, the terms 'firm?', 'institution?' and 'UK parent institution?' include a _CRR consolidation entity_ (if it would not otherwise have been included).

[Note: Rule 2.5 sets out an equivalent provision to the first sub-paragraph of Article 11(2) of _CRR_ that applies to this Part]

* Future version of 2.5 after 01/01/2027

2.6

The expression 'consolidated situation?' applies for the purposes of this Part as it does for the purposes of Parts Two and Three of _CRR_.

[Note: The term 'consolidation situation?' is defined in Article 4(1)(47) of _CRR_]

* Future version of 2.6 after 01/01/2027

Application of requirements on a sub-consolidated basis

2.7

A firm that is required to comply with Parts Two and Three of _CRR_ on a sub-consolidated basis, must comply with this Part on the same basis.

[Note: This rule sets out Article 11(6) of _CRR_ that applies to this Part]

* Future version of 2.7 after 01/01/2027

3

Organisational Structure and Control Mechanisms

3.1

A _CRR consolidation entity_ and a firm must set up a proper organisational structure and appropriate _internal control_ mechanisms in order to ensure that the data required for consolidation for the purposes of this Part is duly processed and forwarded.

[Note: Rule 3.1 sets out an equivalent provision to the second sentence of Article 11(1) of _CRR_ that applies to this Part]

* Future version of 3.1 after 01/01/2027

3.2

A _CRR consolidation entity_ and a firm must ensure that a subsidiary not subject to this Part implements arrangements, processes and mechanisms to ensure proper consolidation for the purposes of this Part.

[Note: Rule 3.2 sets out an equivalent provision to the third sentence of Article 11(1) of _CRR_ that applies to this Part]

* Future version of 3.2 after 01/01/2027

3.3

A firm must monitor and control its _large exposures_ in accordance with this Part.

[Note: Rule 3.3 corresponds to Article 387 of _CRR_ as it applied immediately before revocation by the _Treasury_]

3.4

A firm must have sound administrative and accounting procedures and adequate internal control mechanisms for the purposes of identifying, managing, monitoring, reporting and recording all large exposures and subsequent changes to them, in accordance with this Part.

[Note: This rule corresponds to Article 393 of CRR as it applied immediately before revocation by the Treasury]

4

Large Exposures (Part Four CRR)

Article 387 Subject Matter

Note: Refer to rule [3.3]

Export Article as

Article 388 Negative Scope

Note: Refer to rule [1.1]

Export Article as

Article 389 Definition

Note: The definition of 'exposures' formerly contained in Article 389 of _CRR_ is in rule [1.2]

Export Article as

Article 390 Calculation of Exposure Value

1\.

A firm must calculate the total _exposures_ to a group of connected clients by adding together the _exposures_ to individual clients in that group.

2\.

A firm must calculate the overall _exposures_ to individual clients by adding the _exposures_ to the relevant individual client in the trading book and the _exposures_ to the relevant individual client in the non-trading book.

3\.

For _exposures_ in the trading book, a firm may:

1. (a) offset its long positions and short positions in the same financial instruments issued by a given client, with the net position in each of the different instruments being calculated in accordance with the methods laid down in Chapter 2 of Title IV of Part Three of CRR;
2. (b) offset its long positions and short positions in different financial instruments issued by a given client, but only where the financial instrument underlying the short position is junior to the financial instrument underlying the long position or where the underlying instruments are of the same seniority.

For the purposes of points (a) and (b), financial instruments may be allocated into buckets on the basis of different degrees of seniority in order to determine the relative seniority of positions.

4\.

A firm must calculate the exposure values of the derivative contracts listed in Annex II of _CRR_ and of credit derivative contracts directly entered into with a client in accordance with one of the methods set out in Sections 3, 4 and 5 of the Counterparty Credit Risk (CRR) Part, as applicable. The exposure value for securities financing transactions must be calculated by a firm in accordance with the methods referred to in Section 4 of Chapter 4 of Title II of Part Three of CRR, as applicable. _Exposures_ resulting from the transactions referred to in Articles 378, 379 and 380 of CRR must be calculated by a firm in the manner laid down in those Articles.

When calculating the exposure value for the contracts referred to in the first subparagraph, where those contracts are allocated to the trading book, a firm must also comply with the principles set out in Article 299 of CRR.

By way of derogation from the first subparagraph, a firm with permission to use the method referred to in Section 6 of Chapter 6 of Title II of Part Three of CRR may use that method for calculating the exposure value for securities financing transactions.

* Future version of 4. after 01/01/2027

5\.

A firm must add to the total _exposure_ to a client the _exposures_ arising from derivative contracts listed in Annex II of _CRR_ and credit derivative contracts, where the contract was not directly entered into with that client but the underlying debt or equity instrument was issued by that client.

6\.

The term _exposures_ does not include any of the following:

1. (a) in the case of foreign exchange transactions, _exposures_ incurred in the ordinary course of settlement during the two _business days_ following payment;
2. (b) in the case of transactions for the purchase or sale of securities, _exposures_ incurred in the ordinary course of settlement during the five _business days_ following payment or delivery of the securities, whichever is the earlier;
3. (c) in the case of the provision of money transmission including the execution of payment services, clearing and settlement in any currency and correspondent banking or financial instruments clearing, settlement and custody services to clients, delayed receipts in funding and other _exposures_ arising from client activity which do not last longer than the following _business day_ ;
4. (d) in the case of the provision of money transmission including the execution of payment services, clearing and settlement in any currency and correspondent banking, intra-day _exposures_ to institutions providing those services; and
5. (e) _exposures_ deducted from Common Equity Tier 1 items or Additional Tier 1 items in accordance with Article 36 of the Own Funds and Eligible Liabilities (CRR) Part and Article 56 of CRR or any other deduction from those items that reduces the solvency ratio.

7\.

To determine the overall _exposure_ to a client or a group of connected clients, in respect of clients to which the firm has _exposures_ through transactions referred to in points (m) and (o) of Article 112 of CRR or through other transactions where there is an _exposure_ to underlying assets, a firm must assess its underlying _exposures_ taking into account the economic substance of the structure of the transaction and the risks inherent in the structure of the transaction itself, in order to determine whether it constitutes an additional _exposure_.

8\.

Note: Rules for determining the overall _exposure_ to a client or a group of connected clients corresponding to Delegated Regulation 2014/1187 are set out in [Chapter 5 of this Part]

9\.

[Deleted]

[Note: This rule corresponds to Article 390 of _CRR_ as it applied immediately before revocation by the _Treasury_]

Export Article as

Article 391 Definition of an Institution for Large Exposure Purposes

Note: Article 391 is enacted in rule [1.3 of this Part]

Export Article as

Article 392 Definition of Large Exposure

Note: Article 392 is enacted in the definition of _large exposure_ in rule [1.2 of this Part]

Export Article as

Article 393 Capacity to Identify and Manage Large Exposures [Deleted]

[Deleted]

Export Article as

Article 394 Reporting Requirements

1\.

A firm must report the following information to the PRA for each _large exposure_ that it holds, including _large exposures_ exempted from the application of Article 395(1)"

1. (a) the identity of the client or the group of connected clients to which the firm has a _large exposure_ ;
2. (b) the exposure value before taking into account the effect of the credit risk mitigation, where applicable;
3. (c) where used, the type of funded or unfunded credit protection; and
4. (d) the exposure value, after taking into account the effect of the credit risk mitigation calculated for the purposes of Article 395(1)"

A firm that is subject to Chapter 3 of Title II of Part Three of CRR must report its 20 largest _exposures_ to the PRA on a consolidated basis, excluding the _exposures_ exempted from the application of Article 395(1)".

A firm must also report to the PRA _exposures_ of a value greater than or equal to GBP 260 million but less than 10% of the firm's _Tier 1 capital_ on a consolidated basis.

2\.

In addition to the information referred to in paragraph 1 of this Article, a firm must report the following information to the PRA in relation to its 10 largest _exposures_ to institutions on a consolidated basis, as well as its 10 largest _exposures_ to shadow banking entities which carry out banking activities outside the regulated framework on a consolidated basis, including _large exposures_ exempted from the application of Article 395(1)":

1. (a) the identity of the client or the group of connected clients to which the firm has a _large exposure_ ;
2. (b) the exposure value before taking into account the effect of the credit risk mitigation, when applicable;
3. (c) where used, the type of funded or unfunded credit protection; and
4. (d) the exposure value after taking into account the effect of the credit risk mitigation calculated for the purpose of Article 395(1)"

3\.

A firm must report the information referred to in paragraphs 1 and 2 to the PRA on at least a semi-annual basis.

4\.

[Deleted]

[Note: This rule corresponds to Article 394 of _CRR_ as it applied immediately before revocation by the _Treasury_]

Export Article as

Article 395 Limits to Large Exposures

1\.

A firm must not incur an _exposure_, after taking into account the effect of the credit risk mitigation in accordance with Articles 399 to 403, to a client or group of connected clients the value of which exceeds 25% of its _Tier 1 capital_. Where that client is an institution or an investment firm or where a group of connected clients includes one or more institutions or investment firms, that value must not exceed 25% of the firm's _Tier 1 capital_ or GBP 130 million, whichever is higher, provided that the sum of exposure values, after taking into account the effect of the credit risk mitigation in accordance with Articles 399 to 403, to all connected clients that are not institutions does not exceed 25% of the firm's _Tier 1 capital_.

[Note: IFR 2019/2033 added ?or an investment firm? and ?or investment firms? to 1]

Where the amount of GBP 130 million is higher than 25% of the firm's _Tier 1 capital_, the value of the _exposure_, after having taken into account the effect of credit risk mitigation in accordance with Articles 399 to 403 of this Part, must not exceed a reasonable limit in terms of the firm's _Tier 1 capital_. That limit must be determined by the firm in accordance with the policies and procedures referred to in Internal Capital Adequacy Assessment 6.1 required to address and control concentration risk. That limit must not exceed 100% of the firm's _Tier 1 capital_.

By way of derogation from the first subparagraph of this paragraph, a _G-SII_ must not incur an _exposure_ to another _G-SII_ or to a _non-UK G-SII_, the value of which, after taking into account the effect of the credit risk mitigation in accordance with Articles 399 to 403, exceeds 15% of its _Tier 1 capital_. A _G-SII_ must comply with such limit no later than 12 months from the date on which it came to be identified as a _G-SII_. Where the _G-SII_ has an _exposure_ to another institution or group which comes to be identified as a _G-SII_ or as a _non-UK G-SII_, it must comply with such limit no later than 12 months from the date on which that other institution or group came to be identified as a _G-SII_ or as a _non-UK G-SII_.

1A.

[Deleted]

3\.

Subject to Article 396, a firm must at all times comply with the relevant limit laid down in paragraph 1.

4\.

Assets constituting claims and other _exposures_ to third-country investment firms may be subject to the same treatment as set out in paragraph 1.

5\.

The limits laid down in this Article may be exceeded for the _exposures_ in the firm's trading book, provided that all the following conditions are met:

1. (a) the _exposures_ in the non-trading book to the client or group of connected clients in question does not exceed the limit laid down in paragraph 1, this limit being calculated with reference to _Tier 1 capital_, so that the excess arises entirely in the trading book;
2. (b) the firm meets an additional own funds requirement in respect of the part of the _exposures_ in excess of the limit laid down in paragraph 1 of this Article which is calculated in accordance with Articles 397 and 398;
3. (c) where 10 days or less have elapsed since the excess referred to in point (b) occurred, the trading-book _exposures_ to the client or group of connected clients in question does not exceed 500% of the firm's _Tier 1 capital_; and

4. (d) any excesses that have persisted for more than 10 days do not, in aggregate, exceed 600% of the firm's _Tier 1 capital_.

Each time the limit has been exceeded, the firm must report to the PRA without delay the amount of the excess and the name of the client concerned and, where applicable, the name of the group of connected clients concerned.

6\.

[Deleted]

[Note: This rule corresponds to Article 395 of _CRR_ as it applied immediately before revocation by the _Treasury_]

Export Article as

Article 396 Compliance with Large Exposures Requirements

1\.

If, in an exceptional case, _exposures_ exceed the limit set out in Article 395(1), the firm must report the value of the _exposure_ without delay to the PRA which may, where the circumstances warrant it, allow the firm a limited period of time in which to comply with the limit.

[Note: This is a permission under sections 144G and 192XC of _FSMA_ to which Part 8 of the _Capital Requirements Regulations_ applies]

Where the amount of GBP 130 million referred to in Article 395(1) is applicable, the PRA may allow the 100% limit in terms of the firm's _Tier 1 capital_ to be exceeded on a case-by-case basis.

[Note: This is a permission under sections 144G and 192XC of _FSMA_ to which Part 8 of the _Capital Requirements Regulations_ applies]

Where, in the exceptional cases referred to in the first and second subparagraph of this paragraph, the PRA allows a firm to exceed the limit set out in Article 395(1) for a period longer than three _months_ , the firm must present a satisfactory plan for a timely return to compliance with that limit and must carry out that plan within the period agreed with the PRA.

2\.

Where compliance by a firm on an individual or sub-consolidated basis with the obligations imposed in this Part is waived under Article 7(1)"', or the provisions of Article 9 are applied in the case of parent institutions, measures must be taken to ensure the satisfactory allocation of risks within the group.

[Note: This rule corresponds to Article 396 of CRR as it applied immediately before revocation by the _Treasury_]

* Future version of 2. after 01/01/2027

Export Article as

Article 397 Calculating Additional Own Funds Requirements for Large Exposures in the Trading Book

1\.

A firm must calculate the excess referred to in Article 395(5)(b)\(b\)"') by selecting those components of the total trading _exposure_ to the client or group of connected clients in question which attract the highest specific-risk requirements in

Part Three, Title IV, Chapter 2 of CRR and/or requirements in Article 299 of CRR and Part Three, Title V of CRR, the sum of which equals the amount of the excess referred to in point (a) of Article 395(5)".

2\.

Where the excess has not persisted for more than 10 days, the additional capital requirement shall be 200% of the requirements referred to in paragraph 1, on these components.

3\.

As from 10 days after the excess has occurred, the components of the excess, selected in accordance with paragraph 1, shall be allocated to the appropriate line in Column 1 of Table 1 in ascending order of specific-risk requirements in Part Three, Title IV, Chapter 2 of CRR and/or requirements in Article 299 of CRR and Part Three, Title V of CRR. The additional own funds requirement shall be equal to the sum of the specific-risk requirements in Part Three, Title IV, Chapter 2 of CRR and/or the Article 299 of CRR and Part Three, Title V of CRR requirements on these components, multiplied by the corresponding factor in Column 2 of Table 1.

Table 1:

Column 1: Excess over the limits (on the basis of a percentage of _Tier 1 capital_) | Column 2: Factors

---|---

Up to 40% | 200%

From 40% to 60% | 300%

From 60% to 80% | 400%

From 80% to 100% | 500%

From 100% to 250% | 600%

Over 250% | 900%

[Note: This rule corresponds to Article 397 of _CRR_ as it applied immediately before revocation by the _Treasury_]

Export Article as

Article 398 Procedures to Prevent Institutions from Avoiding the Additional Own Funds Requirement

A firm must not deliberately avoid the additional own funds requirements set out in Article 397 that it would otherwise incur, on _exposures_ exceeding the limit laid down in Article 395(1)" once those _exposures_ have been maintained for more than 10 days, by means of temporarily transferring the exposures in question to another company, whether within the same group or not, and/or by undertaking artificial transactions to close out the _exposure_ during the 10-day period and create a new exposure.

A firm must maintain systems which ensure that any transfer which has the effect referred to in the first subparagraph is immediately reported to the PRA.

[Note: This rule corresponds to Article 398 of _CRR_ as it applied immediately before revocation by the _Treasury_]

Export Article as

Article 399 Eligible Credit Risk Mitigation Techniques

1\.

A firm must use a credit risk mitigation technique in the calculation of an _exposure_ where it has used that technique to calculate capital requirements for credit risk in accordance with Title II of Part Three of CRR, provided that the credit risk

mitigation technique meets the conditions set out in this Article.

For the purposes of Articles 400 to 403 the term "guarantee" includes credit derivatives recognised under Chapter 4 of Title II of Part Three of CRR other than credit linked notes.

2\.

Subject to paragraph 3 of this Article, the recognition of funded or unfunded credit protection in accordance with Articles 400 to 403 is only permitted if the eligibility requirements and other requirements set out in Part Three, Title II, Chapter 4 of CRR are met.

3\.

Credit risk mitigation techniques which are available if a firm is permitted to use one of the IRB approaches must not be used to reduce exposure values for "large exposure" purposes.

4\.

A firm must analyse, to the extent possible, its "exposures" to collateral issuers, providers of unfunded credit protection and underlying assets pursuant to Article 390(7)" for possible concentrations and where appropriate take action and report any significant findings to the PRA.

[Note: This rule corresponds to Article 399 of "CRR" as it applied immediately before revocation by the "Treasury"]

Export Article as

Article 400 Exemptions

1\.

The following "exposures" shall be exempted from the application of Article 395(1)":

1. (a) asset items constituting claims on central governments, central banks or public sector entities which, unsecured, would be assigned a 0% risk weight under Part Three, Title II, Chapter 2 of CRR;
2. (b) asset items constituting claims on international organisations or multilateral development banks which, unsecured, would be assigned a 0% risk weight under Part Three, Title II, Chapter 2 of CRR;
3. (c) asset items constituting claims carrying the explicit guarantees of central governments, central banks, international organisations, multilateral development banks or public sector entities, where unsecured claims on the entity providing the guarantee would be assigned a 0% risk weight under Part Three, Title II, Chapter 2 of CRR;
4. (d) other "exposures" attributable to, or guaranteed by, central governments, central banks, international organisations, multilateral development banks or public sector entities, where unsecured claims on the entity to which the "exposure" is attributable or by which it is guaranteed would be assigned a 0% risk weight under Part Three, Title II, Chapter 2 of CRR;
5. (e) asset items constituting claims on regional governments or local authorities of the "United Kingdom" where those claims would be assigned a 0% risk weight under Part Three, Title II, Chapter 2 of CRR and other "exposures" to or guaranteed by those regional governments or local authorities, claims on which would be assigned a 0% risk weight under Part Three, Title II, Chapter 2 of CRR;
6. (f) "exposures" to counterparties referred to in Article 113(6) or (7) of CRR if they would be assigned a 0% risk weight under Part Three, Title II, Chapter 2 of CRR. "Exposures" that do not meet those criteria, whether or not exempted from Article 395(1)" must be treated as "exposures" to a third party;
7. (g) asset items and other "exposures" secured by collateral in the form of cash deposits placed with the lending institution or with an institution which is the "parent undertaking" or a subsidiary of the lending institution;

8. (h) asset items and other _exposures_ secured by collateral in the form of certificates of deposit issued by the lending institution or by an institution which is the _parent undertaking_ or a subsidiary of the lending institution and lodged with either of them;
9. (i) _exposures_ arising from undrawn credit facilities that are classified as low-risk off-balance sheet items in Annex I of _CRR_ and provided that an agreement has been concluded with the client or group of connected clients under which the facility may be drawn only if it has been ascertained that it will not cause the limit applicable under Article 395(1)") to be exceeded;
10. (j) clearing members' trade exposures and default fund contributions to qualifying central counterparties; and
11. (k) [deleted]
12. (l) clients' trade exposures referred to in Article 305(2)") or (3) of the Counterparty Credit Risk (CRR) Part.

1A.

Cash received under a credit linked note issued by the firm and loans and deposits of a counterparty to or with the firm which are subject to an on-balance sheet netting agreement recognised under Part Three, Title II, Chapter 4 of CRR must be treated as falling under point (g) of paragraph 1 of this Article.

2\.

A firm may with the prior permission of the PRA treat as fully or partially exempt from the application of Article 395(1)") the following types of _exposures_ :

1. (a) [Deleted]
2. (b) [Deleted]
3. (c) _exposures_ incurred by a firm, including through participations or other kinds of holdings, to its _parent undertaking_ , to other subsidiaries of that _parent undertaking_ , or to its own subsidiaries and qualifying holdings, in so far as those _undertakings_ are covered by the supervision on a consolidated basis to which the firm itself is subject, in accordance with _CRR_ , _United Kingdom_ enactments and rules which implemented Directive 2002/87/EC or with equivalent standards in force in a _third country_ ; _exposures_ that do not meet those criteria, whether or not exempted from Article 395(1)") , must be treated as _exposures_ to a third party;

Note: ?NCLEG trading book permissions? and ?NCLEG non-trading book permissions? (as defined in [rule 1.2 of the Large Exposures Part] are granted by the _PRA_ under this subparagraph]

1. (d) [Deleted]
2. (e) [Deleted]
3. (f) [Deleted]
4. (g) asset items constituting claims on central banks in the form of required minimum reserves held at those central banks which are denominated in their national currencies; and
5. (h) asset items constituting claims on central governments in the form of statutory liquidity requirements held in government securities which are denominated and funded in their national currencies provided that the credit assessment of those central governments assigned by a nominated ECAI is investment grade.

Note: ?Sovereign large exposures permissions? (as defined in [rule 1.2 of the Large Exposures Part] are granted by the _PRA_ under subparagraphs (g) and (h)]

1. (i) [Deleted]
2. (j) [Deleted]
3. (k) [Deleted]

[Note: Article 400(2) permissions are granted under sections 144G and 192XC of _FSMA_ to which Part 8 of the _Capital Requirements Regulations_ applies]

3\.

[Deleted]

4\.

A firm must not simultaneously apply more than one exemption set out in paragraphs 1 and 2 to the same exposure.

[Note: This rule corresponds to Article 400 of _CRR_ as it applied immediately before revocation by the _Treasury_]

Export Article as

Article 401 Calculating the Effect of the Use of Credit Risk Mitigation Techniques

1\.

For calculating the value of _exposures_ for the purposes of Article 395(1)"", a firm may use the fully adjusted exposure value (E*) as calculated under Chapter 4 of Title II of Part Three of CRR taking into account the credit risk mitigation, volatility adjustments, and any maturity mismatch referred to in that Chapter.

2\.

With the exception of a firm using the Financial Collateral Simple Method, for the purposes of the first paragraph, a firm must use the Financial Collateral Comprehensive Method, regardless of the method used for calculating the own funds requirements for credit risk.

By way of derogation from paragraph 1, a firm with permission to use the methods referred to in Section 4 of Chapter 4 of Title II of Part Three of CRR and Section 6 of Chapter 6 of Title II of Part Three of CRR, may use those methods for calculating the exposure value of securities financing transactions.

3\.

In calculating the value of _exposures_ for the purposes of Article 395(1)"", a firm must conduct periodic stress tests of its credit-risk concentrations, including in relation to the realisable value of any collateral taken.

These periodic stress tests referred to in the first subparagraph must address risks arising from potential changes in market conditions that could adversely impact the firm's adequacy of own funds and risks arising from the realisation of collateral in stressed situations.

The stress tests carried out must be adequate and appropriate for the assessment of those risks.

A firm's strategy to address concentration risk must include the following:

1. (a) policies and procedures to address risks arising from maturity mismatches between _exposures_ and any credit protection on those _exposures_ ; and
2. (b) policies and procedures relating to concentration risk arising from the application of credit risk mitigation techniques, in particular from large indirect credit _exposures_ , for example to a single issuer of securities taken as collateral.

4\.

Where a firm reduces an _exposure_ to a client using an eligible credit risk mitigation technique in accordance with Article 399(1)"", and Article 403 applies, the firm, in the manner set out in Article 403, must treat the part of the _exposure_ by which the _exposure_ to the client has been reduced as having been incurred for the protection provider rather than for the client.

[Note: This rule corresponds to Article 401 of _CRR_ as it applied immediately before revocation by the _Treasury_]

Export Article as

Article 402 Exposures Arising From Mortgage Lending

1\.

[Deleted]

2\.

[Deleted]

3\.

A firm may treat an _exposure_ to a counterparty that results from a reverse repurchase agreement under which the firm has purchased from the counterparty non-accessory independent mortgage liens on immovable property of third parties as a number of individual _exposures_ to each of those third parties, provided that all of the following conditions are met:

1. (a) the counterparty is an institution or an investment firm;
2. (b) the _exposure_ is fully secured by liens on the immovable property of those third parties that have been purchased by the firm and the firm is able to exercise those liens;
3. (c) the firm has ensured that the requirements in Article 208 and Article 229(1) of CRR are met;
4. (d) the firm becomes beneficiary of the claims that the counterparty has against the third parties in the event of default, insolvency or liquidation of the counterparty; and
5. (e) the firm reports to the PRA in accordance with Article 394 the total amount of _exposures_ to each other institution or investment firm that are treated in accordance with this paragraph.

For these purposes, the firm must assume that it has an _exposure_ to each of those third parties for the amount of the claim that the counterparty has on the third party instead of the corresponding amount of the _exposure_ to the counterparty. The remainder of the _exposure_ to the counterparty, if any, shall continue to be treated as an _exposure_ to the counterparty.

[Note: This rule corresponds to Article 402 of _CRR_ as it applied immediately before revocation by the _Treasury_]

Export Article as

Article 403 Substitution Approach

1\.

Where an _exposure_ to a client is guaranteed by a third party or is secured by collateral issued by a third party, a firm may:

1. (a) treat the portion of the _exposure_ which is guaranteed as an _exposure_ to the guarantor rather than to the client, provided that the unsecured _exposure_ to the guarantor would be assigned a risk weight that is equal to or lower than the risk weight of the unsecured _exposure_ to the client under Chapter 2 of Title II of Part Three of CRR;
2. (b) treat the portion of the _exposure_ collateralised by the market value of recognised collateral as _exposure_ to the third party rather than to the client, provided that the _exposure_ is secured by collateral and provided that the collateralised portion of the _exposure_ would be assigned a risk weight that is equal to or lower than the risk weight of the unsecured _exposure_ to the client under Chapter 2 of Title II of Part Three of CRR.

The approach referred to in point (b) of the first subparagraph must not be used by a firm where there is a mismatch between the maturity of the `_exposure_` and the maturity of the protection.

For the purpose of this Part, a firm may use both the Financial Collateral Comprehensive Method and the treatment set out in point (b) of the first subparagraph of this paragraph only where it is permitted to use both the Financial Collateral Comprehensive Method and the Financial Collateral Simple Method for the purposes of Article 92 of CRR.

2\.

Where a firm applies point (a) of paragraph 1, the firm:

1. (a) where the guarantee is denominated in a currency different from that in which the `_exposure_` is denominated, must calculate the amount of the `_exposure_` that is deemed to be covered in accordance with the provisions on the treatment of currency mismatch for unfunded credit protection set out in Part Three of CRR;
2. (b) must treat any mismatch between the maturity of the `_exposure_` and the maturity of the protection in accordance with the provisions on the treatment of maturity mismatch set out in Chapter 4 of Title II of Part Three of CRR; and
3. (c) may recognise partial coverage in accordance with the treatment set out in Chapter 4 of Title II of Part Three of CRR.

3\.

For the purposes of point (b) of paragraph 1, a firm may replace the amount in point (a) of this paragraph with the amount in point (b) of this paragraph, provided that the conditions set out in points (c), (d) and (e) of this paragraph are met:

1. (a) the total amount of the firm's `_exposure_` to a collateral issuer due to tri-party repurchase agreements facilitated by a tri-party agent;
2. (b) the full amount of the limits that the firm has instructed the tri-party agent referred to in point (a) to apply to the securities issued by the collateral issuer referred to in that point;
3. (c) the firm has verified that the tri-party agent has in place appropriate safeguards to prevent breaches of the limits referred to in point (b);
4. (d) the PRA has not, in a requirement imposed under `_FSMA_`, prohibited such replacement;
5. (e) the sum of the amount of the limit referred to in point (b) of this paragraph and any other `_exposures_` of the firm to the collateral issuer does not exceed the limit set out in Article 395(1)".

[Note: This rule corresponds to Article 403 of `_CRR_` as it applied immediately before revocation by the `_Treasury_`]

Export Article as

5

Rules Determining the Overall Exposure to a Client or a Group of Connected Clients in Respect of Transactions with Underlying Assets

Article 1 Subject Matter

A firm must use the conditions and methodologies specified in this Chapter 5 to determine the overall `_exposure_` of a firm to a client or group of connected clients in respect of `_exposures_` through `_transactions_` with underlying assets and the conditions under which the structure of `_transactions_` with underlying assets does not constitute an additional `_exposure_`.

[Note: This rule corresponds to Article 1 of Part 2 of Regulation (EU) No 1187/2014 as it applied immediately before

revocation by the _Treasury_]

Export Article as

Article 2 Definitions

Note: The definitions formerly found at Article 2 of Part 2 of Regulation (EU) No 1187/2014 as it applied immediately before revocation by the _Treasury_ can be found at rule [1.4 of this Part]

Export Article as

Article 3 Identification of Exposures Resulting from Transactions

1\.

A firm must determine the contribution to the overall _exposure_ to a certain client or group of connected clients that results from a certain _transaction_ in accordance with the methodology set out in Articles 4, 5 and 6.

The firm must determine separately for each of the underlying assets its _exposure_ to this underlying asset in accordance with Article 5.

2\.

A firm must assess whether a certain _transaction_ constitutes an additional _exposure_ in accordance with Article 7.

[Note: This rule corresponds to Article 3 of Part 2 of Regulation (EU) No 1187/2014 as it applied immediately before revocation by the _Treasury_]

Export Article as

Article 4 Transactions Which Themselves Have Underlying Assets

1\.

When assessing the underlying _exposures_ of a _transaction_ (transaction A) which itself has an underlying _exposure_ to another _transaction_ (transaction B) for the purpose of Articles 5 and 6, a firm must treat the _exposure_ to transaction B as replaced with the _exposures_ underlying transaction B.

2\.

Paragraph 1 applies as long as the underlying _exposures_ are _exposures_ to _transactions_ with underlying assets.

[Note: This rule corresponds to Article 4 of Part 2 of Regulation (EU) No 1187/2014 as it applied immediately before revocation by the _Treasury_]

Export Article as

Article 5 Calculation of the Exposure Value

1\.

The _exposure_ of a firm to an underlying asset of a _transaction_ is the lower of the following:

1. (a) the exposure value of the _exposure_ arising from the underlying asset;
2. (b) the total exposure value of the firm's _exposures_ to the underlying asset resulting from all _exposures_ of the firm to the _transaction_.

2\.

For each _exposure_ of a firm to a _transaction_ , the exposure value of the resulting _exposure_ to an underlying asset shall be determined as follows:

1. (a) if the _exposures_ of all investors in this _transaction_ rank pari passu, the exposure value of the resulting _exposure_ to an underlying asset shall be the pro rata ratio for the firm's _exposure_ to the _transaction_ multiplied by the exposure value of the _exposure_ formed by the underlying asset;
2. (b) in cases other than those referred to in point (a) the exposure value of the resulting _exposure_ to an underlying asset shall be the pro rata ratio for the firm's _exposure_ to the _transaction_ multiplied by the lower of:
 1. (i) the exposure value of the _exposure_ formed by the underlying asset;
 2. (ii) the total exposure value of the firm's _exposure_ to the _transaction_ together with all other _exposures_ to this _transaction_ that rank pari passu with the firm's _exposure_.

3\.

The pro rata ratio for a firm's _exposure_ to a _transaction_ shall be the exposure value of the firm's _exposure_ divided by the total exposure value of the firm's _exposure_ together with all other _exposures_ to this _transaction_ that rank pari passu with the firm's _exposure_.

[Note: This rule corresponds to Article 5 of Part 2 of Regulation (EU) No 1187/2014 as it applied immediately before revocation by the _Treasury_]

Export Article as

Article 6 Procedure for Determining the Contribution of Underlying Exposures to Overall Exposures

1\.

For each credit risk _exposure_ for which the obligor is identified, a firm must include the exposure value of its _exposure_ to the relevant underlying asset when calculating the overall _exposure_ to this obligor as an individual client or to the group of connected clients to which this obligor belongs.

2\.

If a firm has not identified the obligor of an underlying credit risk _exposure_ , or where a firm is unable to confirm that an underlying _exposure_ is not a credit risk _exposure_ , the firm must assign this _exposure_ as follows:

1. (a) where the exposure value does not exceed 0.25% of the firm's _Tier 1 capital_ , it must assign this _exposure_ to the _transaction_ as a separate client;
2. (b) where the exposure value is equal to or exceeds 0.25% of the firm's _Tier 1 capital_ and the firm can ensure, by means of the _transaction's_ mandate, that the underlying _exposures_ of the _transaction_ are not connected with any other _exposures_ in its portfolio, including underlying exposures from other _transactions_ , it must assign this _exposure_ to the _transaction_ as a separate client;
3. (c) in cases other than those referred to in points (a) and (b), it must assign this _exposure_ to the _unknown client_.

3\.

If a firm is not able to distinguish the underlying _exposures_ of a _transaction_ , the firm must assign the total exposure

value of its _exposures_ to the _transaction_ as follows:

1. (a) where this total exposure value does not exceed 0.25% of the firm's _Tier 1 capital_ , it must assign this total exposure value to the _transaction_ as a separate client;
 2. (b) in cases other than those referred to in point (a), it must assign this total exposure value to the _unknown client_.
- 4\.

For the purposes of paragraphs 1 and 2, a firm must regularly, and at least on a monthly basis, monitor such _transactions_ for possible changes in the composition and the relative share of the underlying _exposures_.

[Note: This rule corresponds to Article 6 of Part 2 of Regulation (EU) No 1187/2014 as it applied immediately before revocation by the _Treasury_]

Export Article as

Article 7 Additional Exposure Constituted by the Structure of a Transaction

1\.

The structure of a _transaction_ does not constitute an additional _exposure_ if the _transaction_ meets both of the following conditions:

1. (a) the legal and operational structure of the _transaction_ is designed to prevent the manager of the _transaction_ or a third party from redirecting any cash flows which result from the _transaction_ to persons who are not otherwise entitled under the terms of the _transaction_ to receive these cash flows; and
2. (b) neither the issuer nor any other person can be required, under the _transaction_ , to make a payment to the firm in addition to, or as an advance payment of, the cash flows from the underlying assets.

2\.

The condition in point (a) of paragraph 1 is met where the _transaction_ is one of the following:

1. (a) a UK UCITS (as defined in section 237 of _FSMA_); or
2. (b) an _undertaking_ established in a _third country_ that carries out activities similar to those carried out by a UCITS and which is subject to supervision pursuant to legislation of a _third country_ which applies supervisory and regulatory requirements which are at least equivalent to those applied in the _UK_ to UK UCITS.

[Note: This rule corresponds to Article 7 of Part 2 of Regulation (EU) No 1187/2014 as it applied immediately before revocation by the _Treasury_]

Export Article as

Article 8 Entry into Force [Deleted]

[Deleted]

Export Article as